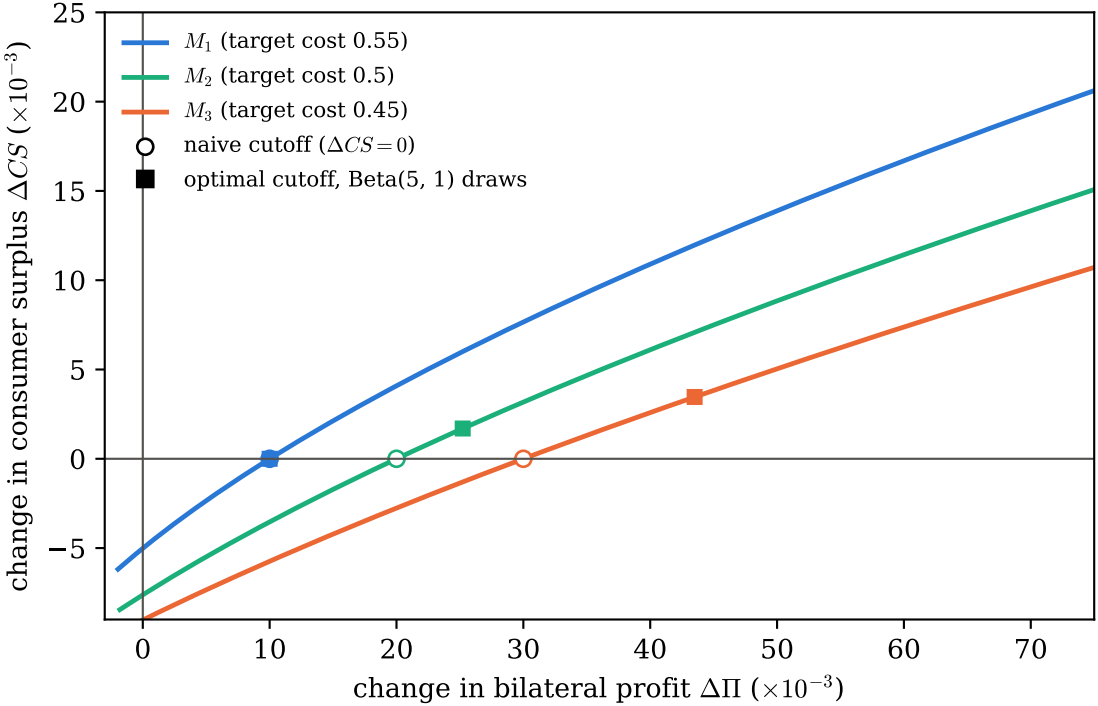
M_1 (target cost 0.55)
M_2 (target cost 0.5)
M_3 (target cost 0.45)
naive cutoff ($\Delta CS = 0$)
optimal cutoff, Beta(5, 1) draws
change in consumer surplus ΔCS ($\times 10^{-3}$)
change in bilateral profit $\Delta\Pi$ ($\times 10^{-3}$)
25
20
15
10
5
0
−5
0
10
20
30
40
50
60
70